Ind AS 32 — Deep Dive

Full life of a compound instrument, own-equity contracts, and preference shares — with computed numbers (₹).

① Compound debenture — full life

10,000 convertible debentures × ₹100 = ₹1,00,00,000; coupon 6% p.a. paid annually; 3 years; market rate for similar non-convertible debt 9%. Split: ***liability ₹92,40,612****,* ***equity ₹7,59,388****.*

Year	Opening liability	Interest @ 9% (P&L)	Coupon paid	Closing liability
1	92,40,612	8,31,655	6,00,000	94,72,267
2	94,72,267	8,52,504	6,00,000	97,24,771
3	97,24,771	8,75,229	6,00,000	**1,00,00,000**

Conversion at maturity

Dr Liability 1,00,00,000

Dr Equity component 7,59,388

Cr Share capital / Securities premium 1,07,59,388

No gain / loss.

Transaction costs ₹2,00,000

Allocate in ratio of split: liability **1,84,812** (enters EIR — new EIR > 9%), equity **15,188** (deducted from equity).

② Early repurchase at end of Year 1

Repurchased for ₹1,05,00,000. Market rate for 2-year similar debt now 8%.

Step	₹
FV of liability component = 6,00,000 ÷ 1.08 + 1,06,00,000 ÷ 1.08^2	96,43,347
Carrying amount of liability	94,72,267
Loss on liability component → P&L	**1,71,080**
Consideration allocated to equity = 1,05,00,000 − 96,43,347	8,56,653
Equity component carrying 7,59,388 → difference **97,265** debited **within equity** (no P&L)	

⚠ TRAP

Repurchase consideration is split using the liability's FV **at repurchase date** — never the original split ratio.

Induced conversion sweetener → FV of extra consideration → **P&L loss** when terms change.

③ Contracts in the entity's own shares — classification grid

Contract	Classification
Issue **fixed 1,000 shares** for **fixed ₹50,000** cash (written call)	**Equity (fixed-for-fixed)**
Deliver shares **worth ₹50,000** (variable number)	**Financial liability**
Deliver 1,000 shares for price linked to **commodity / index**	**Derivative liability (not fixed cash)**
Net cash or **net share** settlement of an option	**Derivative asset / liability**
Holder can choose cash **or** shares	**Liability / derivative unless all outcomes equity** 26
Written put on own shares (entity must buy back at fixed price)	**Liability = PV of redemption amount (gross), debited to equity** 23
Purchased call on own shares, gross physical settlement, fixed-for-fixed	**Equity (deducted)**
FCCB conversion option — fixed shares for fixed foreign-currency amount	**Equity (Indian carve-out)**
Bonus / rights issue pro-rata, fixed foreign-currency price	**Equity** 11

④ Preference shares — worked splits

Terms (₹50 lakh, market rate 12%)	Classification & measurement
Redeemable in 5 yrs; dividend **discretionary**	**Compound**: liability = 50,00,000 ÷ 1.12^5 = **28,37,134**; equity = **21,62,866**. Unwind at 12% → finance cost; dividends declared → equity
Redeemable in 5 yrs; **cumulative mandatory** dividend	Whole **liability** at amortised cost; dividend = **finance cost**
Irredeemable; dividend discretionary	**Equity**; dividends → SOCE
Irredeemable; dividend mandatory	**Liability** (PV of perpetual dividends)
Redeemable at **issuer's** option; discretionary dividend	**Equity** — becomes liability only when issuer **announces** redemption
Convertible into **variable** number of shares at FV	**Liability**

Two questions every time: **Must I pay principal? Must I pay return?** Yes/Yes → liability. No/No → equity. Mixed → compound.

5 Edge cases examiners use

Case	Answer
Redemption only if company **lists** within 3 years (contingent)	**Liability** — listing is outside both parties' control 25
Payment only on **liquidation** of the issuer	**Not** a liability for that feature
Contingent feature that is **not genuine** (extremely rare)	Ignore → equity
Step-up dividend after 10 yrs, redemption at issuer's option	Equity — economic compulsion isn't a contractual obligation (but read terms for indirect obligation)
Partnership / co-operative shares **puttable** by members	Liability, unless para 16A–D conditions met (most subordinate class, pro-rata, no other obligation…)
Sub's equity shares with **parent's guarantee** of return to NCI	Equity in sub's SFS; **liability in CFS**
Written put to NCI (parent must buy NCI's 20%)	CFS: **financial liability** at PV of exercise price

6 Presentation & tax

- → Redeemable preference shares (liability) → **Borrowings** under Schedule III; dividends → **finance costs**
- → Equity issue costs → **reduce equity** (net of tax); costs of a **failed** issue → P&L
- → Liability component in a compound: carrying amount vs tax base (full face) → **taxable TD** → **DTL charged to equity** (Ind AS 12 AG / para 23); unwinds through P&L
- → **Treasury shares**: deduct cost from equity; no P&L on sale / cancellation; disclose number held (Ind AS 1)

7 Ind AS 32 ⇄ 109 hand-off

Question	Standard
Liability or equity?	**Ind AS 32**
Then measure the liability (EIR, FVTPL, modification)	**Ind AS 109**
Embedded derivative in a debt host liability (non-equity conversion)	**Ind AS 109** separation test
Disclose risks	**Ind AS 107**

> ✍ **Write in exam**
> "As per para 23 of Ind AS 32, a contract that contains an obligation for an entity to purchase its own equity instruments for cash gives rise to a financial liability for the present value of the redemption amount, even if the obligation is conditional on the counterparty exercising a right to redeem."